NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 06.05.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(A) Merger & Amalgamation/4/230/AMR/2022		230	Shri Girija Smelters Limited Vamsi Agrotech Private Limited Chintalapati Agro-Tech Private Limited Pericherla Agro-tech Private Limited PV Ramani Agrotech Private Limited

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation/4/230/AMR/2022 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT HYDERABAD

CA (CAA) No.4 /230/AMR/2022

In the matter of the Companies Act, 2013;

AND

In the matter of Section 230 to 232 of the Companies Act, 2013

AND

In the matter of Comprehensive Scheme of Arrangement

BETWEEN:

1. M/s. Shri Girija Smelters Limited
CIN: U27101AP1987PLC008133,
Registered office at SNELSAR Association Complex,
II Floor, D.No.50-53-11/9,
TPT Colony, NE Layout,
Visakhapatnam, Andhra Pradesh – 530013
Rep. by its Director
Mr.Chintalapati Venkata Satya Surya Raghu Ramaraju.

...Applicant No.1/Transferor Company-4/
Transferor Company-10/Transferee Company-2

2. M/s. Vamsi Agrotech Private Limited
CIN: U01403AP2008PTC060934,
Registered office at MIG-225,
North Extension Seethammadhara,
Visakhapatnam, Andhra Pradesh – 530013
Rep. by its Director
Mr.Chintalapati Venkata Satya Surya Raghu Ramaraju.

... Applicant No.2 /Transferor Company-5/
Transferor Company-11

3. M/s. Chintalapati Agro-Tech Private Limited
CIN: U01119AP2004PTC042460,
Registered office at D.No.88-3-5,
Trip School Road, Gadalamma Nagar,
Morampudi Junction, Rajahmundry,
Andhra Pradesh – 533103,
Rep. by its Director
Mr.Chintalapati Venkata Satya Surya Raghu Ramaraju.

... Applicant No.3/Transferor Company-14

4. M/s. Pericherla Agro-Tech Private Limited,
CIN: U01119AP2004PTC042461,
Registered office at SNELSAR Association Complex,
II Floor, D.No.50-53-11/9, TPT Colony,
NE Layout, Visakhapatnam, Andhra Pradesh -530013,
Rep. by its Director Mrs.Chintalapati Radha.

... Applicant No.4/Transferor Company – 16

5. M/s.P.V.Ramani Agrotech Private Limited,
CIN: U01100AP2004PTC044346,
Registered office at SNELSAR Association Complex,
II Floor, D.No.50-53-11/9, TPT Colony,
NE Layout, Visakhapatnam, Andhra Pradesh -530013,
Rep. by its Director
Mr.Chintalapati Venkata Satya Surya Raghu Ramaraju.

...Applicant No.5/Transferor Company-17/
Transferee Company-1

6. M/s.Girija Agro-Tech Private Limited
CIN: U01119AP2005PTC046670,
Registered office at MIG-225,
North Extension, Seethammadhara,
Visakhapatnam, Andhra Pradesh – 530013
Rep. by its Director
Mr.Chintalapati Venkata Satya Surya Raghu Ramaraju.

... Applicant No.6/ Transferee Company-5

Order Pronounced on: 06.05.2022

Coram:
Justice Telaprolu Rajani, Member Judicial.

For all the Applicants : Mr. CS.Santosh Jagtap, PCS

Per: Justice Telaprolu Rajani, Member Judicial.

ORDER

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Companies inter alia seeking an order to dispense with convening the meeting of the Equity Shareholders of all the Applicant Companies and to direct for a meeting of Unsecured Creditors of all the Applicant Companies for consideration of the Comprehensive Scheme of Arrangement ("Scheme" for short) between the Applicant Companies, their respective shareholders and creditors as envisaged under the Scheme.

2. The Registered Offices of the Applicant Companies No. 1 to 6 are situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts, leading to the filing of present case, are as follows:

a) M/s. Shri Girija Smelters Limited (SGSL), 1st Applicant Company was incorporated as a Limited Company on 31.12.1987. The Authorised Share Capital as on 31.03.2020 was Rs.7,60,00,000/- divided into 76,000 equity shares of Rs.1000/- each. The issued, subscribed and paid-up equity share capital is Rs.6,09,17,000/- divided into 60,917 equity shares of Rs.1000/- each. The main objects of the Company are to install and erect necessary plants to produce, trade or business in Ferro Alloys, particularly Ferro Silicon, High Carbon Ferro chrome and other by products there of including Ferro Manganese etc., and to carry on business as manufacturers of chrome alloys, silicon alloys, manganese alloys, calcium carbide Ferro Alloys, Pig Iron, Wrought Iron Steels etc.

b) M/s.Vamsi Agrotech Private Limited (VAPL), 2nd Applicant Company was incorporated as a Private Limited Company on 09.09.2008. The Authorised Share Capital as on 31.03.2020 was Rs.9,50,00,000/- divided into 95,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.9,28,91,360/- divided into 92,89,136 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of farming agriculture, tissue culture, cultivation and sericulture in all their respective forms and branches including commercial plantations and social forestry,

poultries, aquaculture, animal husbandries and to grow, produce, manufacture, process, prepare, refine, extract etc.

c) M/s.Chintalapat Agro-Tech Private Limited (CAPL), 3rd Applicant Company was incorporated as a Private Limited Company on 20.01.2004. The Authorised Share Capital as on 31.03.2020 was Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of farming agriculture, tissue culture, cultivation and sericulture in all their respective forms and branches including commercial plantations and social forestry, to grow, produce, manufacture, process, prepare, refine, extract etc.

d) M/s.Pericherla Agro-Tech Private Limited, 4th Applicant Company was incorporated as a Private Limited Company on 20.01.2004. The Authorised Share Capital as on 31.03.2020 was Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of farming agriculture, tissue culture, cultivation and sericulture in all their respective forms and branches including commercial plantations and social forestry,

to grow, produce, manufacture, process, prepare, refine, extract etc.

e) M/s.P.V.Ramani Agrotech Private Limited, 5th Applicant Company was incorporated as a Private Limited Company on 06.10.2004. The Authorised Share Capital as on 31.03.2020 was Rs.35,50,000/- divided into 3,55,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.35,50,000/- divided into 3,55,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of farming agriculture, tissue culture, cultivation and sericulture in all their respective forms and branches including commercial plantations and social forestry, poultries, livestocks, aquaculture, animal husbandries and to grow, produce, manufacture, process, prepare, refine, extract etc.

f) M/s.Girija Agro-Tech Private Limited, 6th Applicant Company was incorporated as a Private Limited Company on 28.06.2005. The Authorised Share Capital as on 31.03.2020 was Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of farming agriculture, tissue culture, cultivation and sericulture in all their respective forms and branches including

commercial plantations and social forestry, to grow, produce, manufacture, process, prepare, refine, extract etc.

g) According to the Applicant Companies, the Comprehensive Scheme of Arrangement of the Applicant Companies would inter alia help to have a better, efficient and economical management control and running of the business undertakings for administrative convenience and to have economies of large scale operation, it has been proposed to enter into this this Comprehensive Scheme of Arrangement and there will be a reduction in administrative cost and overheads and redundancies would also be eliminated.

4. The Board of Directors of the Applicant Companies in their respective Board Meetings held on 28.12.2020, has approved the Comprehensive Scheme of Arrangement with appointed date as 01.04.2020, subject to the approval of their shareholders and creditors.

5. No investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

6. The **Applicant No.1** has filed certificate of the Auditor stating that as on 28.12.2020 there are 28 (Twenty Eight) **Equity Shareholders,** holding 60917 equity shares of the Applicant No.1 and 97% of shareholders have given their consent to the Scheme by way of affidavits.

7. The **Applicant No.1** has filed certificate of the Auditor stating that as on 28.12.2020 do not have any **Secured Creditors,** in the Applicant No.1.

8. The **Applicant No.1** has filed certificate of the Auditor stating that as on 28.12.2020 there are **20** (Twenty) **Unsecured Creditors,** aggregating outstanding value of Rs.22,39,18,181/- in the Applicant No.1.

9. The **Applicant No.2** has filed certificate of the Auditor stating that as on 28.12.2020 there are 29 (Twenty Nine) **Equity Shareholders,** holding 9289136 equity shares of the Applicant No.2 and 96.01% shareholders have given their consent to the Scheme by way of affidavits.

10. The **Applicant No.2** has filed certificate of the Auditor stating that as on 28.12.2020 do not have any **Secured Creditors,** in Applicant No.2.

11. The **Applicant No.2** has filed certificate of the Auditor stating that as on 28.12.2020 there are **8** (Eight) **Unsecured Creditors,** aggregating outstanding value of Rs.5,97,97,882/- in the Applicant No.2.

12. The **Applicant No.3** has filed certificate of the Auditor stating that as on 28.12.2020 there are 2 (Two) **Equity Shareholders,** holding 10000 equity shares of the Applicant No.3 and all the shareholders have given their consent to the Scheme by way of an affidavits.

13. The **Applicant No.3** has filed certificate of the Auditor stating that as on 28.12.2020 do not have any **Secured Creditors,** in Applicant Company No.3.

14. The **Applicant No.3** has filed certificate of the Auditor stating that as on 28.12.2020 there are **3**(Three) **Unsecured Creditors,** aggregating outstanding value of Rs.10,22,000/- in the Applicant No.3.

15. The **Applicant No.4** has filed certificate of the Auditor stating that as on 28.12.2020 there are 3 (Three) **Equity Shareholders,** holding 10000 equity shares of the Applicant No.4 and all the shareholders have given their consent to the Scheme by way of an affidavits.

16. The **Applicant No.4** has filed certificate of the Auditor stating that as on 28.12.2020 do not have any **Secured Creditors,** in Applicant No.4.

17. The **Applicant No.4** has filed certificate of the Auditor stating that as on 28.12.2020 there are **3** (Three) **Unsecured Creditors,** aggregating outstanding value of Rs.10,82,000/- in the Applicant No.4.

18. The **Applicant No.5** has filed certificate of the Auditor stating that as on 28.12.2020 there are 3 (Three) **Equity Shareholders,** holding 355000 equity shares of the Applicant No.5 and all the shareholders have given their consent to the Scheme by way of an affidavits.

19. The **Applicant No.5** has filed certificate of the Auditor stating that as on 28.12.2020 do not have any **Secured Creditors,** in Applicant No.5.

20. The **Applicant No.5** has filed certificate of the Auditor stating that as on 28.12.2020 there are **2** (Two) **Unsecured Creditors,** aggregating outstanding value of Rs.1,12,47,350/- in the Applicant No.5.

21. The **Applicant No.6** has filed certificate of the Auditor stating that as on 28.12.2020 there are 3 (Three) **Equity Shareholders,** holding 10000 equity shares of the Applicant No.6 and all the shareholders have given their consent to the Scheme by way of an affidavits.

22. The **Applicant No.6** has filed certificate of the Auditor stating that as on 28.12.2020 do not have any **Secured Creditors,** in Applicant No.6.

23. The **Applicant No.6** has filed certificate of the Auditor stating that as on 28.12.2020 there are 8 (Eight) **Unsecured Creditors,** aggregating outstanding value of Rs.1,76,62,000/- in the Applicant No.6.

24. Heard the submissions made in this regard by the Counsel for the Applicant Companies and perused the documents filed.

25. Maximum percent of Equity Shareholders of all the Applicant Companies have given consent affidavits agreeing to the Scheme of Amalgamation. Hence the meeting of the **Equity Shareholders** of

the Applicant Companies are to be dispensed with, in terms of Section 230(9) of the Act.

26. There are no Secured Creditors in the Applicant Companies and hence no need to convene the meetings of the **Secured Creditors** of the Applicant Companies.

27. With regard to the **Unsecured Creditors** of all the Applicant Companies, this Tribunal passed the following order:-

a) A meeting of the **Unsecured Creditors,** of the **Applicant No.1** shall be held on **20.06.2022 at 10.00 AM** at Amatya Conference Hall, Daspalla Hotel, Visakhapatnam, Suryabagh, Visakhapatnam, Andhra Pradesh – 530020 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

b) **Ms. Harshita Datla, Advocate** (Mobile No.**9666437447**; email: advocate.harshitadatla@gmail.com) shall be the **Chairperson** of the meeting of the Unsecured Creditors of the Applicant No.1 and in respect of any adjournment thereof.

c) **Mr. P.Srikanth, PCS** (Mobile No.**9885618898**; email: srikantkumarp@gmail.com) is appointed as the **Scrutinizer** for the meeting of Unsecured Creditors of the Applicant No.1 and in respect of any adjournment thereof.

d) A meeting of the **Unsecured Creditors,** of the **Applicant No.2** shall be held on **20.06.2022 at 11.00 AM** at Hotel Daspalla, Visakhapatnam, Suryabagh, Visakhapatnam, Andhra Pradesh – 530020 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

e) A meeting of the **Unsecured Creditors,** of the **Applicant No.3** shall be held on **20.06.2022 at 12.00 (NOON)** at Hotel Daspalla, Visakhapatnam, Suryabagh, Visakhapatnam, Andhra Pradesh – 530020 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

f) A meeting of the **Unsecured Creditors,** of the **Applicant No.4** shall be held on **20.06.2022 at 02.00 PM** at Hotel Daspalla, Visakhapatnam, Suryabagh, Visakhapatnam, Andhra Pradesh – 530020 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

g) A meeting of the **Unsecured Creditors,** of the **Applicant No.5** shall be held on **20.06.2022 at 03.00 PM** at Hotel Daspalla, Visakhapatnam, Suryabagh, Visakhapatnam, Andhra Pradesh – 530020 for the purpose of considering and if,

thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

h) A meeting of the **Unsecured Creditors,** of the **Applicant No.4** shall be held on **20.06.2022 at 04.00 PM** at Hotel Daspalla, Visakhapatnam, Suryabagh, Visakhapatnam, Andhra Pradesh – 530020 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme

i) **Ms.Kruthi Kalaga, Advocate** (Mobile No.**9959831194**; email: kruthi.kalaga@gmail.com) shall be the **Chairperson** of the meeting of the Unsecured Creditors of the Applicant No.2 to Applicant No.6 and in respect of any adjournment thereof.

j) **Mr.Vangala Priyanka, PCS** (Mobile No.**9052734747**; email: priyapoluri@gmail.com) is appointed as the **Scrutinizer** for the meeting of Unsecured Creditors of the Applicant No.2 to Applicant No.6 and in respect of any adjournment thereof.

k) The remuneration of each Chairman is fixed at Rs.1,00,000/- (Rupees One Lakh only) and remuneration of the each scrutinizer is fixed at Rs.50,000/- (Rupees Fifty Thousand only) per meeting.

l) At least one month before the date of the aforesaid meetings, an advertisement about convening of the said meetings,

indicating the day, date, place and time, as aforesaid, shall be published in Business Standard (in English) and in Andhra Prabha (in Telugu). The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons free of charge from the registered office of the Applicant Companies. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the Corporate Office of the Applicant Companies or at the office of its Counsel i.e., Mr. CS Santosh Jagtap, PCS, D.No.14-2-191/1, Gyan Bag Colony, Hyderabad -500012, Mobile No.8106529141, email: pcssantoshi@gmail.com in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

m) The Chairman/Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions. The Chairman shall have all the powers under the Articles of Association of the Applicant Companies and also under the Rules in relation to the conduct of the meeting, including for deciding any procedural questions that may arise at the meeting or adjournment(s) to the aforesaid scheme or resolution, if any,

proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting by ballot/polling paper at the venue of the meeting.

n) The quorum for the meeting shall be as per Provisions of Section 103 of the Companies Act, 2013.

o) Voting by proxy/authorised representatives is permitted provided that the proxy in the prescribed form/authorisation duly signed by the person entitled to attend and vote at the aforesaid meetings are filed with the Applicant Companies at their Registered Offices or Corporate Offices not later than 48 hours before the meetings vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

p) The Chairman to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

q) It is further ordered that the Chairman shall report to this Tribunal on the result of the meeting in Form No. CAA-4, duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within seven working days.

r) In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, all the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the scheme of Arrangement, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern region; (b) the Registrar of Companies, Andhra Pradesh (c) the Income Tax Authorities and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

28. With the above directions, the Company Application i.e. CA(A) Merger & Amalgamation No. 4/230/AMR/2022 is disposed of.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu